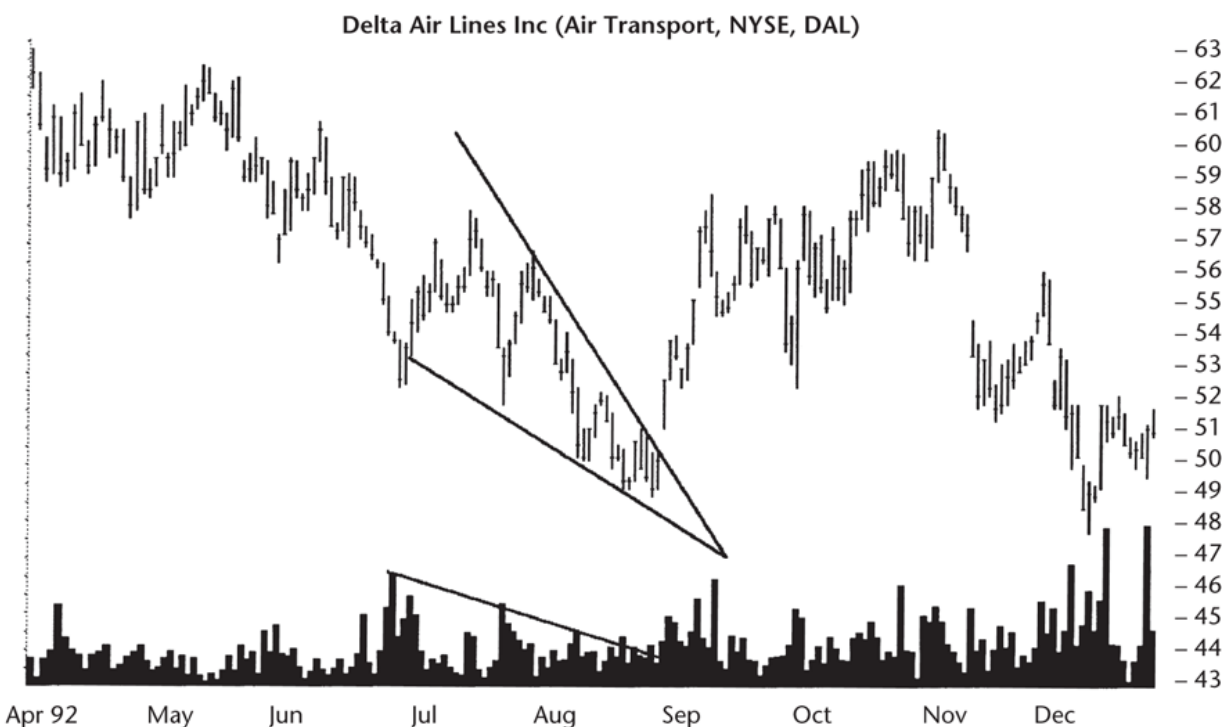


targets (just 29% do). Cut the height in half and subtract it from the breakout price and it'll boost the success rate to 47%. That's still not great.

Tour

[Figure 73.1](#) shows a falling wedge bounded by two down-sloping trendlines in the middle of the chart. Price made a new low in late July and bounced upward. The upward momentum did not carry quite as far as the prior swing. Another up-and-down swing occurred during mid-August just before price finally reached a new low.



[Figure 73.1](#) A falling wedge bounded by two down-sloping trendlines.

If you draw a trendline along the bottoms of the minor lows and another along the tops, you see the familiar shape of a falling wedge.

Falling wedges are rare patterns that have price movements bounded by two down-sloping and converging trendlines. When drawn on the chart, the picture looks like a pie slice tilted downward. I'm getting hungry for a pecan pie, but I digress.

Once price breaks out upward, it rises and quickly climbs above the top of the pattern in well-behaved wedges.